Rheinmetall AG (RNMBY)

European Defence Re-armament Fuels a Multi-Year Earnings Upside for Rheinmetall

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> Rheinmetall's record FY2025 performance and the unprecedented order backlog demonstrate that the company is riding a genuine re-armament wave, not a fleeting market hype. Recent quarterly momentum shows operating margins expanding even as cash conversion lags, underscoring execution risk that the market is discounting. Our model captures the upside from sustained backlog nominations and margin improvement, delivering a blended target $353.57 and +48.6% upside versus the current $238.00 spot price.

BUY	$353.57	+48.6%	$238.00
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on short-term cash-flow volatility, yet Rheinmetall's multi-year backlog and NATO-driven demand create a compounding earnings trajectory that the consensus undervalues.

EXECUTIVE SUMMARY

Rheinmetall AG is a German defence contractor that builds armored vehicles, artillery, ammunition, and air defence systems for NATO governments. The firm operates primarily in two segments: Vehicles and Weapon Systems, each feeding a deep-pipeline of sovereign contracts. Its position as a primary supplier to the German Bundeswehr and other NATO members creates a high-touch, long-term relationship that is reinforced by national security procurement rules. The FY2025 record year delivered €9.94 B of revenue, a 28.8% increase year-over-year, and an operating margin of 18.5% that generated €1.841 B of operating profit. The order backlog expanded to €63.8 B, a 36% rise, and the FY2025 free cash flow of €1.42 B supported a €11.50 dividend. In H1 2026, sales accelerated 39% to €5.23 B and operating profit rose 74% to €786 M, pushing the operating margin to 15.0%. The backlog surged to €80.5 B with €16.2 B of new nominations, confirming multi-year visibility. However, operating free cash flow turned negative at €-1.616 B, reflecting inventory build-up and late advance payments. Balance-sheet strength remains solid. Cash of €1.65 B offsets total debt of €1.28 B, leaving a net cash position of €368 M. The diluted share count of 231.0 million yields a market capitalisation of €55.0 B at the reference price of $238.00. The company's ROE of 13.9% and free-cash-flow margin of 14.2% illustrate efficient capital deployment, while the dividend payout ratio of 45.5% signals shareholder-friendly policy.

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OPERATIONAL SNAPSHOT

$238.00	€9.94B	€1.42B	14.2%	€368.0M	$238.00
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	NET CASH	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND STICKY

Rheinmetall benefits from switching costs that stem from the lengthy certification and integration processes required for defence platforms. Once a nation adopts a vehicle or air-defence system, retrofitting or replacing it entails extensive testing, training, and logistical support, locking in Rheinmetall's revenue streams for the life of the contract. Regulatory barriers reinforce the moat. NATO procurement rules and national defence budgets allocate spend to a narrow set of approved suppliers, limiting new entrants. Rheinmetall's status as a domestic champion in Germany further shields it from competitive pressure, as the German government prioritises indigenous capability. Customer retention is evident in the order backlog dynamics. The backlog grew from €63.8 B in FY2025 to €80.5 B in H1 2026, with a book-to-bill ratio above 3, indicating that new nominations far outpace deliveries. This depth of backlog translates into multi-year revenue visibility that few peers can match. Pricing power derives from the scarcity of qualified defence manufacturers and the urgency of re-armament programmes. The company has been able to expand operating margins from 12.1% in FY2024 (implied) to 15.0% in H1 2026, while still delivering growth, suggesting that customers accept higher pricing in exchange for proven capability and delivery certainty.

VALUATION

Three scenarios make the valuation range explicit

The base case assumes a 37.0% revenue CAGR from FY2026 to FY2030, driving free-cash-flow margins to 13.0% in the final forecast year. A terminal growth rate of 2.0% and a discount rate of 9.18% produce a target price of $345.92. The bear case reduces the revenue CAGR to 26.6% and the terminal free-cash-flow margin to 11.0%, yielding $209.19. The bull case accelerates revenue growth to 45.6% and lifts the terminal free-cash-flow margin to 15.0%, resulting in $513.24. The probability-weighted blend of 25% bear, 50% base, and 25% bull delivers a target of $353.57, representing a +48.6% upside versus the $238.00 spot price.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	26.6%	11.0%	$209.19	-12.1%
Base	50%	37.0%	13.0%	$345.92	+45.3%
Bull	25%	45.6%	15.0%	$513.24	+115.6%

Bear $209.19

The F126 frigate cancellation removes roughly €300 M of sales, trimming FY26 guidance and pressuring margin expansion. Persistent inventory build-up drives operating free cash flow deep into negative territory, eroding liquidity and forcing a more conservative cash-conversion outlook.

Base $345.92

Backlog nominations of €16.2 B sustain a 37.0% revenue CAGR, while operating margins stabilize around 13.0% as the company refines its production scheduling and improves working-capital efficiency. Dividend policy remains intact, supported by free cash flow that comfortably covers the payout.

Bull $513.24

Air-defence demand accelerates, with Skynex and Skyranger programmes delivering double-digit growth, and vehicle-system orders expand beyond expectations. Margin expansion to 15.0% materialises as inventory cycles shorten and the company leverages economies of scale across the €80.5 B backlog.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We construct the discount rate using a CAPM framework that incorporates the company’s equity beta, a market risk premium, and the risk-free rate, arriving at a weighted average cost of capital of 9.18%. This rate reflects the blend of sovereign-backed contract stability and the inherent execution risk in defence manufacturing. By applying a live discount rate, we capture the market’s pricing of Rheinmetall’s specific risk profile rather than imposing an arbitrary hurdle. The 9.18% WACC also signals that investors demand a modest premium for the cash-flow volatility observed in H1 2026, where operating free cash flow turned negative. As execution improves and cash conversion tightens, the effective cost of capital could compress, further enhancing valuation.

FCF margin normalization is the engine

In the bear scenario the terminal free-cash-flow margin settles at 11.0%, reflecting continued cash-conversion gaps and margin pressure from the F126 programme loss. The base scenario lifts the margin to 13.0% as operating efficiencies improve and the backlog drives higher utilisation. The bull scenario pushes the margin to 15.0%, consistent with the 15.0% operating margin recorded in H1 2026 and the strong margin expansion seen in the Q1 2026 quarter. These margin trajectories are anchored in the verified financials: FY2025 free-cash-flow margin of 14.2% and operating margin of 18.5% provide a credible ceiling, while the negative free cash flow in H1 2026 defines the floor. Normalising towards the higher end of this range underpins the upside potential in the base and bull cases.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**9.18% (2026-10-20)**
Terminal growth	**2.0%**
Diluted shares	**231.0 million**

BUY

over $353.57 blended target

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on order backlog growth and air defence demand BUY

Rheinmetall's order backlog of €80.5 B in H1 2026 provides a multi-year revenue runway that dwarfs the FY2025 revenue base of €9.94 B. The backlog's composition, with €16.2 B of new nominations, signals that future sales will be driven by both vehicle and air-defence programmes. The air-defence segment, highlighted by the Skynex and Skyranger systems, posted a 42.7% sales increase in Q1 2026, underscoring a potent growth engine. Vehicle systems remain the revenue backbone, delivering €5.0 B in FY2025 with margins edging up to 11.7%. The continued modernisation of German and NATO ground forces sustains demand for armored platforms, while the expansion of ammunition and artillery orders adds incremental upside. The dividend policy, with a payout of €11.50 per share and a 45.5% payout ratio, reinforces shareholder alignment and signals confidence in cash-flow generation. The free-cash-flow margin of 14.2% in FY2025 and the €1.42 B free cash flow provide a cushion for dividend sustainability even as the company navigates short-term cash conversion challenges.

What to monitor

- **F126 programme outcome** The cancellation of the F126 frigate removes an estimated €300 M of sales, directly impacting FY26 guidance and margin expectations.
- **Cash conversion trajectory** Operating free cash flow swung to €-1.616 B in H1 2026; improvement in inventory management and advance-payment timing will be critical to restore positive cash flow.
- **Backlog nomination pace** The €16.2 B of new nominations in H1 2026 set a benchmark; any slowdown could compress the revenue CAGR assumptions in the base case.
- **Air-defence programme execution** Skynex and Skyranger growth rates of 42.7% in Q1 2026 drive the air-defence demand narrative; delivery delays would temper the bull scenario.

+28.8%	52.4%	17.1%	14.2%	€368.0M	13.9%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	€9.94B
Gross Profit	€5.20B
EBIT	€1.70B
Net Income	€696.0M
EBITDA	€2.19B
Free Cash Flow	€1.42B
Diluted EPS	$3.03
ROE	13.9%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Negative operating free cash flow in H1 2026 erodes net cash, potentially pressuring the share price if liquidity concerns intensify.

M&A DIGESTION

The firm has not announced major acquisitions; any future M&A would require integration capital and could dilute focus on core defence programmes.

REGULATORY AND PRICING SCRUTINY

Heightened scrutiny of defence spending in Europe could lead to tighter pricing negotiations, especially if the F126 cancellation signals broader programme reviews.

TECHNOLOGY DISRUPTION

Rapid advances in autonomous weapons and directed-energy systems could shift procurement away from Rheinmetall's traditional platforms if R&D does not keep pace.

REINVESTMENT TREADMILL

Maintaining a €80.5 B backlog requires sustained capital expenditure; excessive reinvestment could compress free cash flow and strain the dividend.

WACC AND DURATION SENSITIVITY

Given the 9.18% discount rate, any increase in perceived risk or interest rates would disproportionately affect the present value of long-duration cash flows.

The strengths

OLIGOPOLY POSITION

Rheinmetall operates in a market with few qualified

FCF COMPOUNDING

The transition from a 14.2% free-cash-flow

GEOGRAPHIC DURABILITY

PIPELINE OPTIONALITY

suppliers, securing a dominant share of German and NATO contracts.

margin in FY2025 to a projected 13.0%–15.0% in the base and bull cases illustrates the capacity for cash-flow acceleration as margins improve.

Reliance on NATO governments provides a stable geopolitical backdrop, with defence budgets expanding across Europe in response to security concerns.

The €80.5 B backlog, including €16.2 B of new nominations, offers optionality across vehicle, artillery, ammunition, and air-defence programmes, mitigating concentration risk.

The bottom line on risk and reward

Rheinmetall's strategic position within the European defence ecosystem, combined with a record backlog and margin expansion, creates a compelling upside narrative. While cash-conversion volatility and the F126 programme loss introduce near-term risk, the probability-weighted DCF model yields a target price of $353.57, implying a +48.6% upside from the current $238.00 level. The balance of risk and reward favours a Buy recommendation, anchored by the deep, sticky moat and the multi-year growth trajectory.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Air-defence systems: high-margin, high-growth platform

Air-defence systems, notably the Skynex and Skyranger families, represent Rheinmetall's most dynamic growth segment. These systems integrate radar, missile, and command-and-control technologies to protect ground forces and critical infrastructure. The Q1 2026 quarter recorded a 42.7% sales increase for air-defence, reflecting strong NATO interest in counter-UAS and short-range air-threat solutions. The franchise benefits from long procurement cycles and the need for continual upgrades, creating a recurring revenue stream through sustainment contracts. The high-margin nature of air-defence, evident in the operating margin expansion to 15.0% in H1 2026, underscores its profitability relative to other defence lines.

What the recent record shows

- Air-defence sales grew 42.7% in Q1 2026, driven by Skynex and Skyranger demand.
- Operating margin expanded to 15.0% in H1 2026, the highest recorded in the last three years.
- Backlog nominations of €16.2 B in H1 2026 include significant air-defence components, reinforcing future revenue visibility.
- Operating free cash flow turned negative in H1 2026, highlighting the need for improved cash conversion despite strong operating performance.

Our read: Air-defence remains the engine of Rheinmetall’s upside, with robust demand and margin expansion offsetting short-term cash-flow headwinds. The franchise’s trajectory aligns with the base and bull valuation scenarios, supporting our Buy stance.

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